

Adani Green Energy Ltd

Investment Rating : Weak

Company Overview

Website	http://www.adanigreenenergy.com/
Sector	nan
Market Cap	510,512.78 Cr
PE Ratio	45.26
PB Ratio	6.24
Dividend Yield	0.89 %

Financial Quality

ROE	14.7
ROCE	96.5
CFO Quality	Accrual Risk
FCF CAGR	nan%
Capital Pattern	Balanced

Capital Allocation

Capital Score	49.0
Reinvestment	Aggressive Expansion
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

Adani Green Energy Limited, incorporated in 2015, is a holding company of several subsidiaries carrying business of renewable power generation within the group and is primarily involved in renewable power generation and other ancillary activities.

Strengths

Strong free cash flow generation over 5 years signals healthy business fundamentals.
Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
Operating profit margin above 25% indicates strong pricing power and cost discipline.

Risks

Debt-to-equity ratio of 6.60 is elevated for a non-financial company and warrants monitoring.
Rising debt over the past 3 years suggests increasing financial leverage risk.
Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.

Net debt exceeding three times operating profit indicates elevated financial leverage.